CRIME | INSURANCE FRAUD

POLICIES OF DECEPTION

Abetted by insiders, a multicrore insurance scam—centred in west UP and preying on the poor battling illness or disability—thrived on fake identities, staged deaths, and even murders

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STOLEN PROMISES Sunita Devi with her son Anuj outside their house in Bhimpur village in Bulandshahr

It **looked like a routine hit-and-run case: a 20-year-old named Aman found dead on the roadside** in western Uttar Pradesh's Amroha district. His Aadhaar card and phone were still in his pocket, and the local police duly recorded the case as an accident. That was back in November 2023. But when the case was reopened earlier this year, what seemed at first like a random road tragedy unravelled into a chilling conspiracy. For, the postmortem itself told a different story—four deep lacerations on Aman's head, with no other injuries—pointing unmistakably to murder.

Between July and September 2023, seven insurance policies worth Rs 2.7 crore had been taken out in Aman's name, including a Rs 1 crore accidental death cover. Investigators discovered that his maternal relatives, in cahoots with a local gang, had plotted the killing. This was not their first crime. In 2022, they had murdered another man, Salim, to extract Rs 78 lakh in insurance claims, and were preparing to target a third victim when the police finally intervened.

What happened to Aman is not an isolated tragedy. It is the face of one of India's biggest insurance rackets—an organised crime network that investigators say has thrived for nearly 15 years and touched nearly every major insurance company. According to the Sambhal police, which first uncovered the nexus, fraudsters issued fake policies in the names of the dying, altered Aadhaar details to make the elderly look decades younger, and forged death certificates for the living. So far, 68 arrests have been made, four murders confirmed and 21 FIRs filed across western UP and Delhi.

The victims are nearly always poor, battling illness or disability, many of them and their families barely literate, most of them unaware of what life insurance even means. Among those arrested are at least 50 insurance insiders, including agents and claim investigators, as well as three bank employees, a couple of village functionaries, an ASHA worker and a ward boy.

Police say the fraud has already topped Rs 100 crore—but barely one in 10 suspected cases has been physically verified so far. Though the investigations have centred in western UP, the discovery of passbooks and documents from several states—in multiple Indian languages—indicates a network spanning at least 12 states. Local police now refer to the region—Sambhal and neighbouring districts of Amroha, Bulandshahr, Moradabad, Meerut and Budaun among others—as the "Jamtara of insurance fraud".